Candidate's Assessment Number: _____

TANZANIA HEADS OF ISLAMIC SCHOOLS COUNCIL

FORM TWO INTER ISLAMIC MOCK EXAMINATION

062 BOOK KEEPING

TIME: 2:30 Hours **Tuesday, 29th July 2025 a.m.**

Instructions

1. This paper consists of sections A, B, and C, with a total of **nine (09)** questions.
2. Answer **all** questions in the spaces provided.
3. Section A carries **fifteen (15)** marks, section B carries **forty (40)** marks, and section C carries **forty five (45)** marks.
4. All writings must be in blue or black ink, except drawings, which must be in pencil.
5. All communication devices and unauthorized materials are **not** allowed in the examination room.
6. Write your **Assessment Number** at the top right corner of every page.

FOR ASSESSORS' USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESSOR'S INITIAL**
01		
02		
03		
04		
05		
06		
07		
08		
09		
TOTAL		
CHECKER'S INITIALS		

Candidate's Assessment Number: _____

SECTION A (15 Marks)

Answer **all** questions in this section

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter in the box provided.

(i) A trader bought new fixtures. He paid half the purchase price in cash and agreed to pay the balance at a later date. How does this purchase affect the accounting equation?

	Assets	Capital	Liabilities
A.	Decrease	Decrease	No effect
B.	Decrease	No effect	Increase
C.	Increase	Decrease	Increase
D.	Increase	No effect	Increase

(ii) A school accountant was preparing a trial balance; unfortunately, payments exceeded the receipts side. He decided to open a suspense for that. Among the following statements, which one describes that account introduced?

A. It is an account opened to check for errors in the trial balance
B. It is a permanent account used to correct the statement of financial position
C. It is a temporary account used to correct errors of complete reversal
D. It is an account that is opened when the totals of a trial balance disagree

(iii) Most big companies prepare financial statements at the end of the financial year. They do this for internal and external stakeholders. Among the following, who is not a financial report stakeholder?

A. Creditor
B. Financial Institutions
C. Government
D. Bank of Tanzania

(iv) Ally withdrew TZS 500,000 cash from the Bank for personal use. What will be the double entry for this transaction?

A. Dr Cash, Cr Bank
B. Dr Bank, Cr Cash
C. Dr Drawings, Cr Bank
D. Dr Drawings, Cr Cash

(v) The balance of cash at the Bank shown in the cash book is TZS 120,000. The bank statement on the same date shows the balance to be TZS 144,000. What could explain the difference?

A. Payment to supplier, TZS 120,000, entered on the wrong side of the ash book
B. Bank charges, TZS 24,000, not in the cash book
C. Cheques to suppliers, TZS 24,000, not yet presented to the Bank
D. Receipts from customers, TZS 24,000, banked not yet entered in the bank statement

(vi) Ashura is a chief cashier at Magogoni Primary School. She was paying salaries to gardeners, but unfortunately, she recorded the amount paid to Naima in Najma's account. How do we call this kind of mistake?

A. Error of omission
B. Error of original entry
C. Error of complete reversal
D. Error of commission

(vii) A trader maintains a petty cash book using the imprest system. The imprest amount is TZS 12,000. The petty cash transactions during June were:

	TZS
Receipts from chief cashier	2100
Payments:	
Stationery	2500
Postage	1000
Cleaning	2000
Payment to supplier	4000

How much was given to the petty cashier on 1st July to restore the imprest?

A. TZS 4,600
B. TZS 7,400
C. TZS 9,500
D. TZS 12,000

(viii) Recently, your brother has been appointed by the President of the United Republic of Tanzania as an officer who controls the issue of public money; in what account name can you describe your brother?

A. Receiver of Revenue
B. Accounting officer
C. Payment General
D. Controller and Auditor General

(ix) A wholesaler offers a 30% trade discount and a 5% cash discount for payment within 30 days. The invoice value is TZS 240,000 and is dated the 2nd of February. If payment is made on the 29th of February, how much will be received by the wholesaler?

A. TZS 72,000
B. TZS 168,000
C. TZS 240,000
D. TZS 159,000

(x) Golf motor dealers of used cars from Japan purchase their stock in cash and sometimes with a promise to pay at a later time. Where should they record those cars they do not pay for them on the spot when they purchase them?

A. Credit purchases Account
B. Non-current Account
C. Purchases day-book journal
D. Purchases return day book

2. Match the descriptions of the sources of disagreement between cash book and bank statement in **column A** with their terms in **column B** by writing the letter of the correct response beside the item number in the table provided.

Column A		**Column B**
(i)	Payments made by a firm but they are not yet sent by customers to the Bank to affect those payments	A. Standing order B. Dishonored cheque C. Unpresented cheque D. Errors E. Unaccredited cheque F. Dividend G. Direct transfer H. Bank charges
(ii)	Payments received by a firm or person by cheque but they are not yet passed through the banking system.	
(iii)	Fees deducted by the Bank for different services made on the current account.	
(iv)	Payments made by the customer firm direct to the bank account of the supplier firm.	
(v)	Payments directed by the account holder to be made by the Bank on his behalf	

Column A	(i)	(ii)	(iii)	(iv)	(v)
Column B					

SECTION B (40 marks)

Answer all questions in this section

3. (a) Mr. Moshi is a second-hand clothes dealer at Tengeru market. During the month of May, the following transactions were related to his business. Help Mr. Moshi to identify the debit and credit entries from each of these transactions.

TRANSACTIONS		**ACCOUNT TO BE DEBITED**	**ACCOUNT TO BE CREDITED**
(i)	Bought a washing machine from Mreu		
(ii)	Returned goods to Macha		
(iii)	Withdrew cash from the Bank to meet office expenses		
(iv)	Paid Kimaro by cheque		
(v)	Sent invoice to Temba		

(b) After recording all transactions correctly, Mr. Moshi was unable to present classes of the accounts. Please help him to complete that task to allow his books to be audited.

ACCOUNT	
NAME	**CLASSIFICATION**
(i) Account receivable	
(ii) Premises	
(iii) Commission received	
(iv) Inventory	
(v) Discount on sales	

4. Minallah, during her June Holiday, she was helping in a family business. Unfortunately, her uncle was not aware of some technical business terms. She explained to her. As a form two student, what do you think she said on the following?

(i) Assets

_____
_____
_____
_____

(ii) Customers

_____
_____
_____
_____

(iii) Double entry principle

_____
_____
_____
_____

(iv) Sales

_____
_____
_____
_____

(v) Purchases

_____
_____
_____
_____

5. From the following business information of "Nakumatt Supermarket" you are required to enter into Journal proper and then find the capital of the business.

Inventory (1/1/2024) …….		1,000,000
Trade receivables:	Shemdoe ……..	1,500,000
	Shemweta ……	500,000
Trade payables:	Mfinanga ……..	300,000
	Mnzava …….	100,000
Cash in hand ……...		2,000,000
Premises ……..		3,000,000
Fixture & fittings ……		300,000
Bank overdraft ……		300,000
Loan to Shekilango …….		500,000
Bill payable …….		100,000
Bill receivable …….		300,000
Repair to motor vehicle ……..		20,000

6. (a) Your friend Ali has recently opened a café. He is asking for your assistance on how to keep a record of his money received and payments. Teach him how to maintain a cash book by explaining to him its features. Four (4) points.

(i) _____

_____

(ii) _____

_____

(iii) _____

_____

(iv) _____

_____

(b) You have recently got temporary employment as a clerk at Moonlight Enterprises, and your first assignment is to prepare a trial balance. How would you do it if the following balances were supplied to you?

	TZS
Salaries and wages …….	7,000,000
Building …….	35,000,000
Capital ……	124,000,000
Furniture …….	30,000,000
Sales ……	55,000,000
Cash in hand ……	15,000,000
Cash at Bank……	25,000,000
Closing stock ……	35,000,000
Opening stock ……..	50,000,000
Discount received …….	15,000,000
Discount allowed ……..	10,000,000
Carriage inwards ……	3,000,000
Debtors ……	12,000,000
Machinery ……	6,000,000
Creditors …….	18,000,000
Carriage outwards ……..	4,000,000
Purchases…… ……..	30,000,000

SECTION C (45 Marks)

Answer all questions in this section

7. Muhammad commenced the business with a balance of TZS 100,000 in hand and TZS 200,000 at the bank on 1st September 2024.

   During September, the following transactions took place:

   2nd Sept Bought furniture for TZS 10,000

   4th Sept Banked cash TZS 30,000

   5th Sept Cash sales to date TZS 250,000

   5th Sept Bought Furniture on credit from Ammar TZS 300,000, allowed 2.5% trade discount.

   6th Sept Paid insurance by cheque TZS 5,000

   8th Sept Paid Mariam TZS 76,000 in a full settlement of debt of TZS 80,000

   10th Sept Withdrew TZS 25,000 from the business to pay for a personal tour

   11th Sept Received cheque of TZS 145,000 in full settlement of debt of TZS 150,000

   18th Sept Paid transport by cash TZS 60,000 deduct 5% discount

   20th Sept Salum paid us by cheque of TZS 100,000, allowed 8% discount

   25th Sept Cashed a cheque TZS 40,000

   Required: Enter the above transactions in the appropriate cash book.

8. Mwanshuya is a famous rice supplier in Mbeya region. During the year ended 31st December 2024 he was unable to complete the preparation of financial statements following the funeral of his fellow trader. You, as the person to whom the task was delegated, help him to prepare the statement of financial position as of that date.

Gross profit from the income statement ……	11,000,000
Premises ……	20,000,000
Closing inventory ……..	9,500,000
Loan to Sinkara …….	6,000,000
Machinery …….	12,000,000
Sundry expenses for the year ……	6,000,000
Loan from Sikabenga ……	5,000,000
Trade payables …….	13,000,000
Trade receivables ……..	7,000,000
Loan from NBC ……	12,500,000
Bank overdraft ……..	9,000,000
Cash ……..	25,000,000
Office equipment ……..	8,000,000
Sundry incomes ……	1,000,000
Drawings ……..	3,500,000
Capital ……..	46,000,000

During the holy month Ramadhan, Mwanshuya donated rice costing TZS 500,000 from his shop to provide Iftaar at one of the largest orphanage centres in Mbeya.

9. Mr. Togwa, whose financial year ends on 31st December, prepared a trial balance which failed to agree. A debit side had a shortage of TZS 5,000, which was then placed in a suspense account. An investigation revealed the following errors:
   (i) The loan received from Equity Bank TZS 3,000 was entered into capital account
   (ii) Creditors account undercast by TZS 5,500
   (iii) Debtors account undercast by TZS 7,500
   (iv) The amount of TZS 3,000 for purchases of machinery was omitted from the machinery account.
   (v) Credit sales of TZS 3,200 entered in books as TZS 2,300

   Required:
   (a) Pass Journal Entries to correct the above errors.
   (b) Suspense account